

Principles of Microeconomics

Course Objectives

The objectives of this course are:

1. To enable participants to analyze the decision making process faced by the households and the firms and the formation of price in specific market structures.
2. To develop an understanding of the practical implementation of these theoretical structures.

Course Contents

1. Introduction

Basic definitions & terms; Scarcity, Choices, Opportunity Costs, Microeconomics Vs Macroeconomics, Goods & Services, Classification of Goods, Factors of Production, Consumer Vs Producer & their conflicting objectives, Basic Economic Problems, Introduction to Graphs.

2. Demand, Supply and Market Equilibrium

Theory of Demand & Supply, Market Equilibrium, Partial Equilibrium, Elasticity of Demand and Supply.

3. Consumer Behavior

Utility and Preferences, Indifference Curve, Budget Constraints, Consumer Equilibrium, Comparative Static Analysis.

4. Production & Cost Analysis

Production Function, Fixed and Variable Inputs/Costs, Geometry of relationship of total, average and marginal product & costs, Short & Long run, Law of diminishing return, Isoquants, Isocost lines and Least cost techniques.

5. Firm & Market Structure

Definition and types of firm, Market Structures; Perfect competition, Monopoly, Oligopoly and Monopolistic Competition.

Recommended Books

1. Pindyck, R. S., and Rubinfeld, D. L. and Mehta, P. L. (2018). *Microeconomics*. 9th Edition. Pearson.
2. Mankiw, N. G. (2018). *Macroeconomics*. 10th Edition, Worth Publishers
3. Parkin M. (2019). *Microeconomics*. 13th Edition. Pearson.

- Note:**
1. Duration of course will be 10 weeks.
 2. Total 10 lectures of two hours duration will be delivered.
 3. Class time will be from 7:00 pm to 9:00 pm, once a week.
 4. Atleast 75% attendance is required to get a certificate.